

MARKET LEADERS

► ABD's clarity on which markets it caters to is helping it grow in a highly competitive landscape



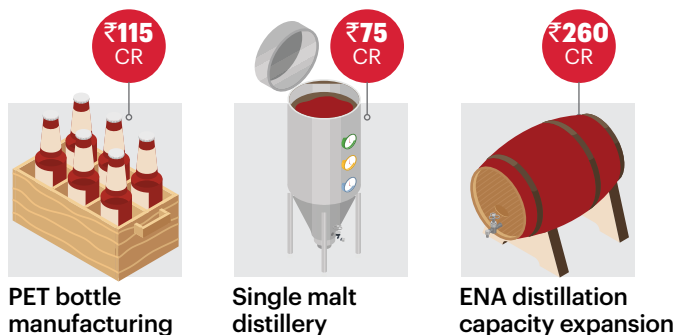
NOTE FIGURES REPRESENT NUMBER OF CASES FOR FY25; PERNOD RICARD SOLD ITS IMPERIAL BLUE BRAND TO TILAKNAGAR INDUSTRIES IN JULY 2025

SOURCE JM FINANCIAL REPORT, DECEMBER 2025

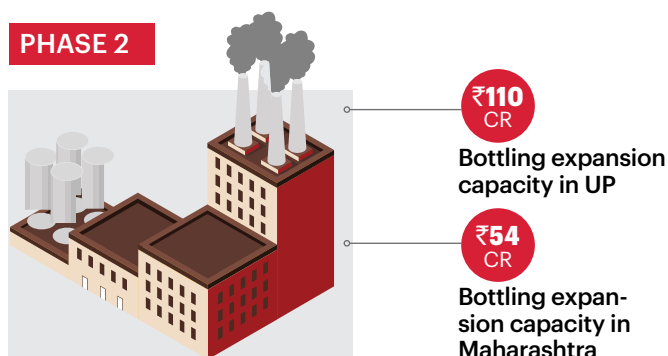
BACKWARD INTEGRATION

► The first phase of ABD's plan would enhance gross margins by around 3% by FY28, from 42% in FY25

PHASE 1



PHASE 2



SOURCE ABD EARNINGS PRESENTATION 9MFY26

price points with headroom for growth. Gupta recollects how ABD looked at the luxury market closely. "At about 3% of overall volumes, roughly 1% is only standard scotch, where there are easily 40 brands," he says.

For the company, the right to win is more important than the right to play. "It made little sense to have another standard scotch brand. I must be able to offer something more relevant and different." What remains has a limited number of players. "It is rarely more than two or three, and that is where we have the right to win," he adds.

Though the luxury market is generally brand-led and import-driven, ABD believes its vision to win in this market involves a combination of factors like opportunity for its own brands, ability to bring in more international brands, and strength of distribution.

THE BITS AND PIECES

Over time, the definition of a well-run spirits company, according to Shekhar Ramamurthy, ABD's Executive Deputy Chairman, has fundamentally changed. "Earlier, scale and access were often sufficient. Today, execution quality and unit economics matter far more," he says.

Three points in his view make that big difference. "Portfolio discipline is critical, and companies must manage state-wise pricing, mix and costs, rather than relying only on volume growth. Capital efficiency has become non-negotiable. Manufacturing assets, brand investments and capacity expansion require significant capital, and returns must be predictable and timely," he explains. Finally, consumer understanding "must be grounded in reality, based on how people actually consume across income segments and occasions."

The Indian spirits market is mainly controlled by two big multinational companies. One is Diageo from the United Kingdom, which bought United Spirits from Vijay Mallya. The other is Pernod